Cash Flow

In this age of creative accounting, accounting principles are changed, provisions created or written back, and generally accepted accounting principles liberally interpreted or ignored by companies in order to show profits. Shareholders do not realise this when they look at the published profits in the financial statements of companies. It comes therefore as a surprise when a regular profit making company suddenly downs its shutters and goes into liquidation. This occurs when a company is unable to obtain finance or pay its creditors. History is strewn with such examples and investors must always check:

- How much is the company's cash earnings?
- How is the company being financed?
- How is the company using its finance?

The answers to the above can be determined by preparing a statement of sources and uses of funds. Its importance has been recognized in the United States and in many European countries where it is mandatory for a company to publish with its Annual Report, a summary of changes in financial statements which is, in effect, a cash flow statement.

A statement of sources and uses begins with the profit for the year to which are added the increases in liability accounts (sources) and from which are reduced the increases in asset account (uses). The net result shows whether there has been an excess or deficit of funds and how this was financed.

For example, as shown in Table 10.2 Fundamental and Company Limited (Fundamental) reported a profit before tax of Rs. 108.12 lakh. This included, however, other income of Rs. 247.74 lakh, profit on sale of fixed assets of Rs. 112.88 lakh and an amount of Rs. 38.56 lakh withdrawn from a revaluation reserve. If these are deducted, the profit changes to a loss of Rs. 291.06 lakh.

Table 10.1